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County: los-angeles

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Case Number: 23PSCV01429 Hearing Date: June 24, 2026 Dept: O

Tentative Ruling

MOTION TO

SET ASIDE REQUEST FOR ENTRY OF DEFAULT/DEFAULT JUDGMENT AGAINST DEFENDANT,

EUGENIO MONTELONGO FRAIRE is GRANTED; a proposed order has been filed.

Background

This case

arises from a motor vehicle accident that happened on May 16, 2022.

On May 11, 2023, Plaintiff William Sieber filed suit against Defendant

Eugenio Montelongo Fraire.

On July 6, 2023, default was entered against

Defendant.

On May 8,

2025, after denying the initial request for entry of default judgment, the

court granted the request in the amount of $49,831.93.

On May 26, 2026, the instant motion was filed.

On June 15, 2026, an opposition was filed.

On June 16, 2026, a reply was filed.

Discussion

Defendant brings forth the motion on the grounds that it received neither notice of the default nor default judgment. More specifically, according to Defendant and not otherwise disputed by Plaintiff in opposition, Defendant's insurance carrier, ANCHOR GENERAL INSURANCE COMPANY ("AG"), had been in regular contact with the Plaintiff's Counsel from May 20, 2022 through August 29, 2024, 2 years and 3 months, about Plaintiff's claim. (Defendant's papers carefully lay out all the dates of communication.)

For reasons to be explained below, this is the very type of facts that warrant setting aside a judgment.

As set forth in the motion, the parties began meeting and conferring well before the suit was filed in May 2022 (so about one year before). In fact, on October 3, 2022, AG issued a check to Plaintiff as a settlement of property damage ($1,121.30). Then, on May 11, 2023, AG confirmed receipt of the May 5, 2023 policy limits demand. But that same day without giving notice, Plaintiff filed the instant lawsuit. And even after complaint was filed but unbeknownst of the filing to Defendant, Defendant kept trying to settle as evidenced, for example, by the June 2, 2023 offer to resolve the matter for $8,000 and an August 2, 2023 call regarding the same. But despite the calls and faxes, no responses were received. On November 15, 2024, AG checked the docket in San Bernardino County (which is the County in which Defendant resided) to see if a lawsuit had been filed; no lawsuit was located.

On

April 6, 2026, (almost 1 year after obtaining the Default Judgment) Plaintiff presented the Default Judgment to AG for the first time. Based off the papers, this was the first time Defendant learned of the lawsuit and respective default and default judgment.

Based on said timeline, Defendant argues that "[t]his is an obvious attempt by Plaintiff's attorney to take a 'back door default' and obtain a 'secret judgment' in an effort to coerce AG into a policy limits settlement." The court fully agrees that relief is warranted.

The opposition is rather brief but argues a couple of points.

First, Plaintiff

argues “Defendant's narrative depends entirely on the premise that Plaintiff had some obligation to provide AG with courtesy copies of the Complaint, proof of service, and request for default. He did not.” That is incorrect. Though not cited by Defendant, Fasuyi v. Permatex, Inc. (2008) 167 Cal.App.4th 681 is instructive. In Fasuyi, Fasuyi's counsel “had been in contact with ITW's legal department .... Notwithstanding that, Fasuyi's counsel took the default without so much as a reminder, let alone a warning, about any responsive pleading. Permatex argues this was ‘unfair.’” (Id. at p. 701, emphasis added.) The Fasuyi court discussed how the State Bar Civility Guidelines deplore the conduct of an attorney who races opposing counsel to the courthouse to enter a default before a responsive pleading can be filed. (Id. at p. 702, quoting Cal. State Bar, California Attorney Guidelines of Civility and Professionalism (2007) § 15.) Accordingly, it is now well acknowledged that an attorney has an ethical obligation to warn opposing counsel that the attorney is about to take an adversary's default. (Id. at pp. 701–702 [84 Cal.Rptr.3d 351].) Applying the same here, it is disingenuous for Plaintiff to argue the situation is of Defendant’s own making when the parties were in continuous settlement discussions.

Second, Plaintiff argues that the Defendant himself must file a declaration. (The reply does not address this point.) But Plaintiff’s reliance upon Rogalski v. Nahers Cadillac (1992) 11 Cal.App.4th 81 to support that is misplaced. The pincited pages of Rogalski wherein the case states “the defendant also had to show the insurer's inaction was excusable,” is citing to Don v. Cruz (1982) 131 Cal.App.3d 695, but the Rogalski noted Don’s inapplicability as “since Don was decided the Legislature has made a very significant amendment to section 473 which makes its reasoning questionable as applied to this case.” (Id. at pp. 820-821.)

Third, to the extent Plaintiff argues that the motion is untimely, that is partially true. “Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.” (CCP section 473b, emphasis added.) Here, however, the default judgment was taken on May 8, 2025 but the motion was filed nearly one year later. (In reply, Defendant conclusively argues that the motion is timely.) Thus, the court does not have the statutory power to grant the requested relief.

Notwithstanding, the motion makes mention of setting aside judgment based upon the court’s inherent equitable power to set aside a judgment on the ground of “extrinsic fraud or mistake.” (The opposition does not address this point.) There is no imposed time limit with such requested relief. The court may grant relief under its inherent equity power if, because of the fraud of his opponent, the aggrieved party was prevented from presenting his claim or defense to the court. ‘Two essential conditions are found in a classic case in equity which seeks to set aside a judgment: first, the judgment is one entered against a party by default under circumstances which prevented him from presenting his case; second, these circumstances result from extrinsic fraud practiced by the other party or his attorney.’

[Citation.] The vital question is ‘whether the successful party has by inequitable conduct, either direct or insidious in nature, lulled the other party into a state of false security, thus causing the latter to refrain from appearing in court or asserting legal rights.’” (Aheroni v. Maxwell (1988) 205 Cal.App.3d 284, 291, emphasis added; see also Motion p. 10, quoting Lieberman v. Aetna Insurance Co., (1967) 249 Cal. App. 2d 515 [evidence supported a determination that the plaintiff’s attorney knowing of the mistake consisting of a failure to file an answer on behalf of the defendant lulled the insurance company into a sense of security until the period for seeking relief under section 473 had elapsed and then took a default judgment against the defendant in pursuance of a plan to assure recovery under the insurance policy without a fair adversary proceeding.].) Here, similarly, Defendant was under the reasonable, objective impression that the matters would be informally resolved but then surprisingly, a lawsuit was filed and subsequent default judgment taken.

All in all, as the record strongly shows that Plaintiff obtained a “back door default” and that “as soon as AG learned that Plaintiff had obtained the ‘secret judgment’ against the Defendant, AG referred this matter to this firm to defend this action,” the court exercises its equitable powers to grant the requested relief.

Conclusion

Based on the foregoing, the motion is GRANTED.